



Cambridge International AS & A Level

ECONOMICS

9708/32

Paper 3 Multiple Choice

May/June 2022

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



- 1 The generation of electricity causes external costs.

Who bears these external costs?

- A the distributors who sell the electricity
 - B the electricity company that produces the electricity
 - C the government that subsidises the production of electricity
 - D the people living in the area where the electricity is generated
- 2 What must equal marginal cost when a profit-maximising firm produces at its allocatively efficient output?
- A average revenue
 - B average total cost
 - C total revenue
 - D total cost
- 3 What might reduce dynamic efficiency in an economy?
- A government expenditure on enterprise education
 - B reinvestment of profits
 - C rising shareholder dividends
 - D the increase in innovation
- 4 In many countries, health authorities are concerned about the harmful effects of smoking cigarettes.

Governments have imposed high sales taxes on cigarettes and have conducted anti-smoking campaigns.

Why might the quantity of cigarettes demanded remain high?

- A Better knowledge of health hazards is changing behaviour.
- B Cigarette smoking will be replaced by cheaper alternatives.
- C Consumer behaviour is irrational due to addiction.
- D The income effect of a price rise makes consumers worse off.

5 What does a budget line show?

- A the behaviour of a utility-maximising consumer
- B the difference between an individual's consumption and saving
- C the monetary value of the disposable income of a consumer
- D the maximum combinations of two products that a consumer can buy with a given level of income

6 When the price of a good falls, the overall effect on the quantity demanded can be separated into income and substitution effects.

Which statement describes a Giffen good?

- A The income effect is irrelevant for a Giffen good.
- B The income effect works in the same direction as the substitution effect.
- C The income effect works against the substitution effect and is of a greater magnitude.
- D The income effect works against the substitution effect but is of a smaller magnitude.

7 The table provides some details of the soft drinks industry in a country.

number of firms	250
number of brands	1000
5 firm concentration ratio	65%

Which market structure best describes the country's soft drinks industry?

- A monopoly
- B monopolistic competition
- C oligopoly
- D perfect competition

8 A rock band is due to play at a concert hall. In order to create a good atmosphere, the band's aim is to sell all the tickets. Ticket prices are set at the highest price that ensures all tickets will be sold.

What is the motivation for this price strategy?

- A profit maximisation
- B revenue maximisation
- C sales maximisation
- D satisficing

- 9 What would be most likely to allow the survival of small firms in an economy?
- A an increase in the cost of borrowing from commercial banks
 - B an increase in personal services as a share of GDP
 - C an increase in the rate of change of information technology
 - D an increase in the ratio of capital to labour employed in an economy
- 10 What is a condition for operating a successful cartel?
- A a large number of firms in the industry
 - B having a differentiated product
 - C low barriers of entry to the industry
 - D strictly enforced production quotas
- 11 In 2012, an Australian airline company separated its international and domestic operations into separate companies. The company had been facing increasing competition from much larger competitors in international markets but had relatively little competition in domestic markets that had a higher price elasticity of demand.

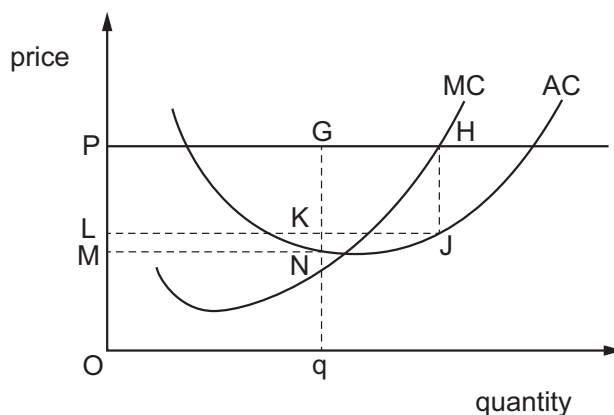
Which row shows the reasons that would support this separation?

	diseconomies of scale in the combined company before the separation	markets can easily be separated by this company	the level of competition and price elasticity in domestic markets
A	no	yes	yes
B	yes	no	yes
C	yes	yes	no
D	yes	yes	yes

- 12 The diagram shows a firm's marginal and average cost curves.

The firm enters a collusive agreement with other firms in the industry. It is agreed that each firm will charge a common price, OP , and will restrict the level of its output to a production quota set by the industry cartel.

The firm is allocated a production quota, Oq .



The firm decides to cheat in order to maximise its profits.

What is its short-run increase in profits?

- A PGKL
 - B PHJL
 - C PHJL minus PGNM
 - D PGKL minus LKNM
- 13 To reduce road congestion caused by parked cars, a local government introduced a system of tradable parking permits. Households were given a permit allowing them to park one car at the roadside. Households with more than one car could buy extra permits from households with no cars.
- What is the most likely reason for this policy to fail?
- A Fines for drivers parking in the area without a permit will internalise the externality.
 - B The local government has a monopoly over the issue of parking permits.
 - C Those suffering from too many parked cars are compensated by the households owning extra cars.
 - D Too many households own cars so the market in permits is very small.

14 What is **not** an example of the application of 'nudge' theory?

- A A chain of coffee shops offers its customers a larger coffee if they bring their own reusable cup.
- B A government imposes an indirect tax on the purchase of sugary snacks, to try to reduce childhood obesity.
- C A government introduces an opt-out system for organ donation, to try to increase the number of organs donated.
- D A restaurant chain introduces smaller-sized main courses on its menu, to try to reduce the volume of food wastage.

15 A government wishes to redistribute income from richer citizens to poorer citizens.

Which policy is it **least** likely to use?

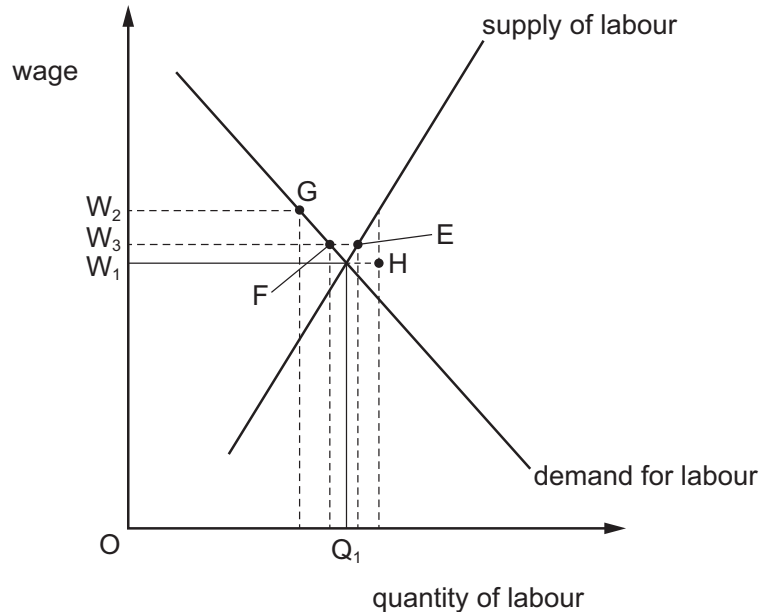
- A increase direct taxes
- B increase indirect taxes
- C increase subsidies
- D increase transfer payments

16 What represents the transfer earnings of the factor enterprise?

- A excess profit
- B normal profit
- C return on capital
- D start-up costs

- 17 The diagram shows the demand for and supply of labour in the construction industry. The labour market is initially in equilibrium when the wage is W_1 .

A trade union wishes to increase the wage but does not wish to decrease employment. The union asks for wage W_2 . The employers offer wage W_3 .



What would be the best policy to enable the trade union to achieve both its aims?

- A accept W_3 and a new equilibrium F
 - B continue to ask for W_2 and a new equilibrium G
 - C keep W_1 with a new equilibrium H
 - D increase marginal revenue productivity and a new equilibrium E
- 18 Many governments adopt sustainable economic growth as a macroeconomic policy aim.

What is meant by sustainable economic growth?

- A increasing the current productive potential of the economy as fast as possible
- B increasing the current productive potential of the economy by using only low-cost resources
- C increasing the current productive potential of the economy without reducing future productive potential
- D increasing the future productive potential of the economy as fast as possible

19 What would cause estimates of the money value of the Measure of Economic Welfare for a country to be **greater** than the value of Gross National Product?

- A negative externalities, such as pollution
- B property income received from abroad
- C regrettable necessities
- D the value of non-marketed activities and leisure

20 The data provides information on indicators of the standard of living in four countries in 2019, each with a population below 10 million.

country	life expectancy at birth (years)	Gross National Income per capita (\$)	expected years of schooling	skilled labour (% of labour force)
Croatia	78.3	23 061	15.0	91.5
Norway	82.3	68 059	18.1	84.3
United Arab Emirates	77.8	66 912	13.6	52.8
Qatar	80.1	110 489	12.2	43.9

Based (overall) on these indicators, which country is most likely to have had the highest HDI ranking?

- A Croatia
 - B Norway
 - C United Arab Emirates
 - D Qatar
- 21 What might help improve economic growth in developing countries over the next five years?
- A an increase in income tax
 - B an increase in the birth rate
 - C an increase in the budget surplus
 - D an increase in training

- 22 An economist once said 'if you pay people not to work and tax them when they do, don't be surprised if you get unemployment'.

What is this an example of?

- A cyclical unemployment
 - B frictional unemployment
 - C structural unemployment
 - D voluntary unemployment
- 23 What is the **least** likely consequence of a significant rise in unemployment during an economic recession?
- A a fall in aggregate demand
 - B a fall in expenditure on welfare
 - C a fall in revenues from income tax
 - D a fall in the rate of economic growth
- 24 In which context relevant to growth in the money supply is the term *total currency flow* used?
- A the money flow between central banks and commercial banks
 - B the money flow between central banks and governments
 - C the money flow between domestic residents and foreign residents
 - D the money flow between the general public and the financial sector
- 25 What does **not** change the level of withdrawals from the circular flow of income?
- A households having more of their income taken in tax following a rise in the rate of income tax
 - B households spending more on imported cars following a currency appreciation
 - C households taking money from their savings to spend on a celebration
 - D households transferring money from an account in one bank to a different bank
- 26 Which approach is consistent with the Keynesian school of economic thought?
- A Balanced budgets should be a key policy aim.
 - B Inflation is caused by excessive money supply growth.
 - C Unemployment can still persist in the long run.
 - D Wages are flexible downwards in the short run.

27 What could be used to offset a leakage from the circular flow of income?

- A** a reduction in domestic consumption
- B** a reduction in government expenditure
- C** an increase in the rate of interest
- D** an increase in investment

28 In some countries, life expectancy has fallen but the birth rate remains high.

Which effect will this have?

- A** Fewer schools and other resources for young people will be needed.
- B** More facilities will be needed for older people.
- C** There will be an ageing population.
- D** The working population will tend to become a smaller percentage of the total population.

29 The government's chief economist says that increasing the top rate of income tax from 40% to 45% is likely to reduce tax revenue by 2%.

Which economic concept might explain this prediction?

- A** Kuznets curve
- B** Laffer curve
- C** Lorenz curve
- D** Phillips curve

30 Which combination of policies is most likely to reduce the rate of inflation?

	government spending	interest rates	direct taxation on households
A	decrease	decrease	increase
B	decrease	increase	increase
C	increase	decrease	increase
D	increase	increase	decrease



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MARK SCHEME

Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the May/June 2022 series for most Cambridge IGCSE, Cambridge International A and AS Level and Cambridge Pre-U components, and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	D	1
2	A	1
3	C	1
4	C	1
5	D	1
6	C	1
7	C	1
8	C	1
9	B	1
10	D	1
11	D	1
12	C	1
13	D	1
14	B	1
15	B	1
16	B	1
17	D	1
18	C	1
19	D	1
20	B	1
21	D	1
22	D	1
23	B	1
24	C	1
25	D	1
26	C	1
27	D	1
28	D	1

Question	Answer	Marks
29	B	1
30	B	1